

PayPal Holdings

A cash-rich value opportunity - if branded checkout stabilizes before the franchise is hollowed out.

NASDAQ: PYPL | September 19, 2026 | Price: \$52.41 (September 18 close)

BUY / High Risk

The stock discounts a durable decline, yet PayPal still generates roughly \$6 billion of annual cash flow, holds 439 million active accounts, and is repurchasing shares at a single-digit cash-flow multiple. The gap can close without a return to hypergrowth.

\$70

34% indicated upside

Risk-weighted fair value

12-month target: \$65

Bear / Base / Bull: \$40 / \$70 / \$95

\$44.8bn

Market capitalization

9.7x

FY26 non-GAAP P/E

\$6bn+

FY26 adjusted FCF guide

439m

Active accounts

Cheap enough to work; not clean enough to be easy

PayPal is no longer a premium growth compounder. It is a scaled payments utility with a valuable consumer brand, a large merchant network, and a contested distribution position. At \$52.41, the market is pricing more erosion than our base case requires.

\$70

RISK-WEIGHTED FAIR VALUE
Weighted across DCF, earnings, normalized free cash flow, and transaction-margin approaches.

34%

UPSIDE TO FAIR VALUE
Before the small dividend; the return case is driven mostly by rerating and share retirement.

3

PROOF POINTS REQUIRED
Branded checkout, transaction-margin dollars, and disciplined reinvestment.

The bull case

- **Cash flow is real.** Trailing free cash flow is approximately \$6.6 billion by our calculation from SEC cash-flow statements, against a \$44.8 billion equity value.
- **Buybacks are unusually accretive.** The June 2026 share count was 855 million, down from 993 million at year-end 2024. Repurchasing at 7-10x cash flow can lift per-share value materially.
- **Growth is broadening.** Venmo, Enterprise Payments/Braintree, credit and debit are offsetting weak online branded checkout; Q2 total payment volume rose 10%.

The bear case

- **Mix is deteriorating.** Q2 volume grew twice as fast as revenue, while GAAP operating income fell 5%. Lower-margin processing can make headline TPV misleading.
- **The moat is under pressure.** Apple Pay, Shop Pay, browser wallets and merchant-owned checkout have superior distribution at the point of intent.
- **2026 is an investment year.** Non-transaction expense growth and a major reorganization are suppressing margins; promised savings will be substantially reinvested.

What must be true: online branded-checkout growth holds at least low single digits, transaction-margin dollars reaccelerate above revenue-independent interest income, and capital returns do not mask weakening unit economics.

The portfolio is stronger than the “legacy wallet” label

PayPal connects consumers and merchants in roughly 200 markets. It earns mostly transaction fees, then layers in credit, balance interest, foreign exchange, instant transfer, subscriptions, gateway and risk services.

Engine	Customer value	Economics	Investment role
PayPal branded checkout	Trusted wallet, funding choice, buyer protection, fast checkout.	Higher-value branded economics; strategically critical.	Core profit pool and main rerating trigger.
Enterprise Payments / Braintree	Unbranded card and wallet processing for large merchants.	High volume, thinner take rate; needs pricing and routing discipline.	Scale engine; can dilute margins if growth is bought.
Venmo	U.S. person-to-person payments, debit, merchant checkout and transfers.	Monetizes through instant transfer, cards, checkout and offers.	Best consumer growth option; under-monetized network.
Credit / BNPL	Consumer flexibility and merchant conversion; working capital for sellers.	Interest/fee income plus merchant-funded economics; credit risk and funding needs.	Fast-growing financial-services adjacency.
Merchant platform	Checkout, orchestration, fraud, payouts, point of sale and financing.	Cross-sell can improve retention and unit economics.	Defense against Stripe, Adyen, Block and Shopify.
New options	Ads/offers, agentic commerce, PayPal World and PYUSD.	Potentially high margin, but early and uncertain.	Upside optionality; zero value in our base case.

Why the model can endure

- Two-sided data links purchase intent, identity, risk and funding choice.
- Global licensing and compliance are costly to replicate.
- Consumer trust and purchase protection can raise conversion.
- Platform neutrality works across merchants, devices and funding sources.

Why the model can erode

- Merchants can multi-home and route to lower-cost processors.
- Device-native wallets own the default mobile position.
- Card-network costs constrain payment margins.
- Unbranded growth does not necessarily strengthen the PayPal brand.

Source: PayPal 2025 Form 10-K. PayPal reports one operating segment, limiting precise product-level profit attribution.

Scale and trust remain the moat; distribution is the weak point

Consumer checkout

Key rivals: Apple Pay, Google Pay, Shop Pay, Amazon Pay and stored-card checkout.

PayPal edge: broad acceptance, cross-platform identity, funding flexibility and protection.

Risk: operating-system and commerce-platform owners can place their wallet first and reduce the need to choose PayPal.

Merchant processing

Key rivals: Stripe, Adyen, Fiserv, Worldpay, Checkout.com, Shopify and Block.

PayPal edge: one stack spanning branded and unbranded checkout, consumer reach, risk and payouts.

Risk: enterprise contracts are price competitive and integration quality is table stakes.

Consumer finance and P2P

Key rivals: Cash App, Zelle, banks, Klarna, Affirm and card issuers.

PayPal edge: Venmo engagement, merchant acceptance and embedded financing at checkout.

Risk: P2P can be popular but low monetization; credit adds loss and regulatory exposure.

New commerce layers

Key rivals: ad networks, loyalty platforms, stablecoins and AI-agent payment standards.

PayPal edge: transaction graph and merchant-consumer relationships.

Risk: early products can consume investment without becoming material.

Moat assessment: Moderate, narrowing. PayPal retains scale, brand, data, risk capabilities and licenses. It does not control the device, browser, card network or merchant storefront. The moat depends on delivering measurably better conversion, trust and economics - not merely recognition.

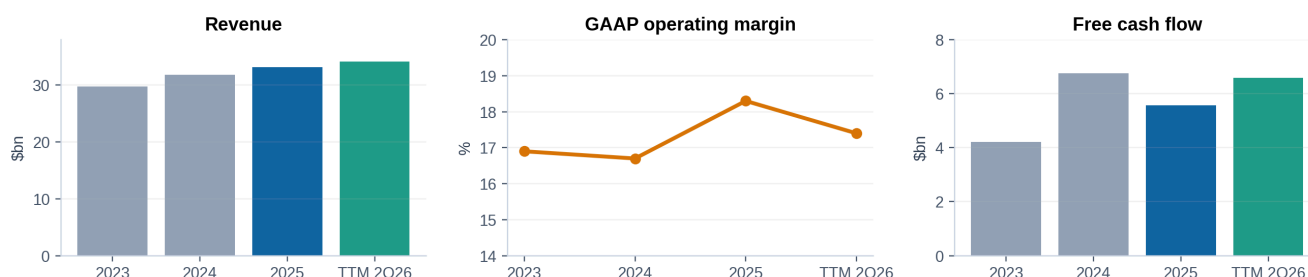
Relative valuation shows how skeptical the market is

At the September 18 close, PayPal traded near 9x trailing earnings versus roughly 31x for Visa and Mastercard. That discount is directionally justified: networks have stronger margins, cleaner asset-light economics and better growth durability. But a threefold discount leaves room for a rerating if PayPal merely stabilizes.

Peer P/E data: FintHub, September 19, 2026. P/E comparisons are contextual, not apples-to-apples: Visa and Mastercard are networks, while PayPal bears processing, credit and operating-platform costs.

Revenue is growing; margin dollars are the battleground

A steady top line, volatile conversion to cash



\$34.1bn

TTM REVENUE

Up from \$29.8 billion in 2023; growth remains mid-single-digit.

17.4%

TTM GAAP OP. MARGIN

Below 2025's 18.3% as growth investment and mix pressure costs.

\$6.6bn

TTM FREE CASH FLOW

Calculated as operating cash flow less property and equipment purchases.

Q2 2026: demand healthy, economics mixed

Metric	Q2 2026	YoY	Read-through
Total payment volume	\$486.4bn	+10%	Healthy commerce and processing growth.
Revenue	\$8.68bn	+5%	Volume growth did not fully convert to revenue.
Transaction-margin dollars	\$3.90bn	+1%	The key economic output barely grew.
GAAP operating income	\$1.43bn	-5%	Investment and mix pressure outweighed revenue growth.
GAAP diluted EPS	\$1.25	-3%	Lower share count softened profit decline.
Active accounts	439m	+0.3%	Scale is stable; user growth is not the thesis.

TTM calculations combine FY2025 with the change in the six months ended June 2026 versus June 2025. Historical free cash flow equals SEC operating cash flow less purchases of property and equipment. Source: PayPal filings.

Buybacks are powerful - provided the core does not decay

PayPal's balance sheet is sound and cash generation is large relative to market value. The company is directing most excess cash toward repurchases, now supplemented by a modest dividend.

\$15.3bn

CASH + INVESTMENTS
As of June 30, 2026.

\$13.4bn

DEBT
Net cash/investments of
about \$1.9 billion.

855m

SHARES OUTSTANDING
July 22, 2026; down 7% from
year-end 2025.

Capital allocation scorecard

Use of cash	Assessment	Investor implication
Share repurchases	Strong	\$6.0 billion returned via buybacks over the twelve months to Q2; accretive at current valuation if normalized FCF holds.
Dividend	Neutral	\$0.14 quarterly dividend signals maturity; approximately 1.1% forward yield at \$52.41.
Growth investment	Watch	Management is reinvesting much of at least \$1.5 billion in targeted gross run-rate savings. Returns must show in transaction-margin dollars.
Credit funding	Watch	Receivable sales reduce capital intensity, but adjusted FCF can diverge from cash flow due to BNPL origination-and-sale timing.

Accounting discipline: our valuation uses \$6.0 billion of normalized equity free cash flow, below the \$6.6 billion TTM figure, and equal to management's "at least \$6 billion" 2026 adjusted-FCF guide. This guards against working-capital timing and avoids capitalizing a peak quarter.

Sources: PayPal Q2 2026 earnings release; Q2 2026 Form 10-Q. Share count is not equivalent to weighted-average diluted shares used in EPS.

Cash engines, growth options, and experiments should be valued differently

Product	Quality	Evidence and judgment	Valuation treatment
Branded checkout	6 / 10	High strategic value and trusted brand, but Q2 online branded TPV grew only about 2% currency-neutral. Distribution pressure is structural.	Base business; 2026 stabilization assumed, no rapid rebound.
Enterprise Payments / Braintree	7 / 10	Mid-teens Q2 volume growth and better pricing discipline. Competitive, lower-margin processing means TPV is not profit.	Growth engine valued on transaction-margin contribution, not volume.
Venmo	8 / 10	Strong consumer relevance; merchant checkout, debit and instant transfer widen monetization. Q2 volume grew mid-teens.	Material upside option; included through gradual revenue mix improvement.
BNPL and credit	7 / 10	Raises conversion and order value; financial-services revenue is expected to grow at least twice the company rate in 2026. Carries credit and funding risk.	Included in base growth; normalized cash flow haircut applied.
Fastlane	6 / 10	Addresses guest-checkout friction and can distribute through partners such as Adyen. Incremental economics and broad adoption are not yet proven.	No separate value; upside to checkout conversion.
Debit / in-person	7 / 10	Expands PayPal and Venmo beyond online checkout and increases daily use. Rewards can pressure economics if not targeted.	Included in engagement-driven base growth.
Ads, agentic commerce, PYUSD	5 / 10	Strategically logical adjacencies to transaction data and money movement, but immature and execution-heavy.	Zero explicit base-case value; bull-case optionality only.

Product verdict: Venmo is the most attractive under-monetized asset; branded checkout is the valuation fulcrum; Braintree is useful only if pricing converts volume into margin dollars. New initiatives should be funded by evidence, not narrative.

Product metrics referenced from Q2 2026 management disclosures. Scores are analyst judgments, not company metrics.

The turnaround needs a better mix, not simply more volume

PayPal reorganized around three businesses and a simpler operating model in 2026. The program targets at least \$1.5 billion of gross annualized savings over two to three years, with a significant portion reinvested.

1. Checkout Solutions & PayPal

Reduce branded-checkout friction, improve conversion, extend Fastlane, strengthen rewards and support AI-agent purchases. Success means branded TPV outgrows e-commerce and holds pricing.

2. Consumer Financial Services & Venmo

Increase daily use through debit, merchant checkout, instant transfer, credit and offers. Success means monthly active users and revenue per active user rise without disproportionate incentives.

3. Payment Services & platform

Improve Braintree economics, sell orchestration, risk and payout services, and modernize the common platform. Success means transaction-margin dollars outpace processing volume.

4. Operating model

Use automation and AI to reduce structural cost and speed product delivery. Success means net savings remain after reinvestment and technology reliability does not deteriorate.

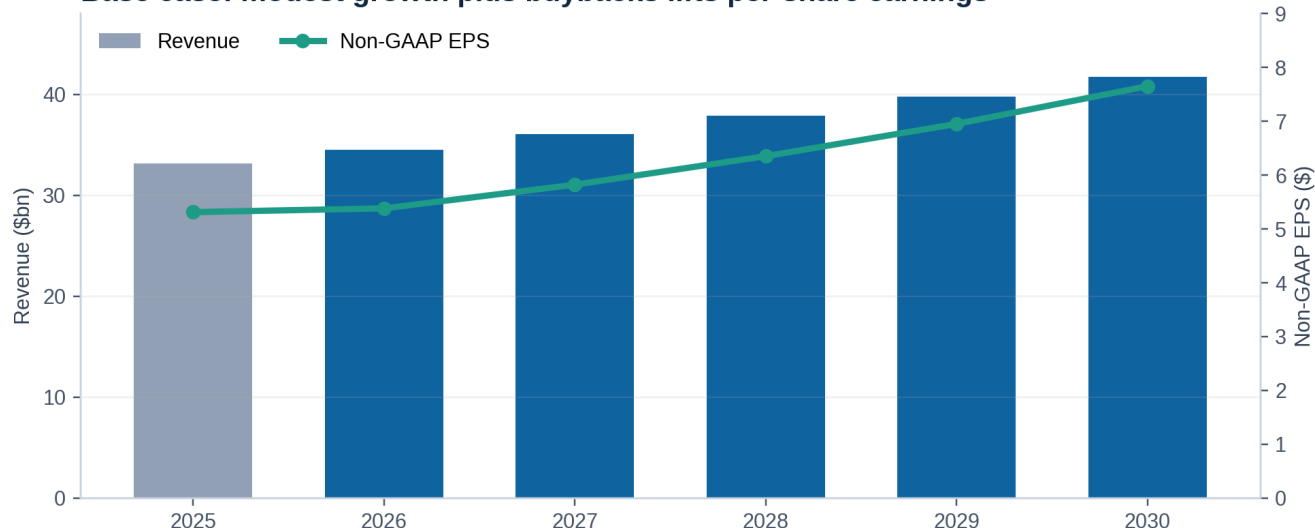
Our growth algorithm

Driver	Base assumption	Evidence to monitor
Commerce and TPV	High-single-digit TPV growth	Cross-border mix, consumer spending, Braintree contract wins.
Revenue take rate	Continued mild compression	Revenue growth relative to TPV; pricing actions.
Transaction-margin dollars	Low-to-mid-single-digit growth after 2026	Growth excluding customer-balance interest.
Operating expenses	Elevated in 2026, then slower growth	Net savings after reinvestment; restructuring charges.
Share count	5-8% annual reduction near term, moderating	Repurchase dollars, average purchase price, stock compensation.

Key tension: the company can hit EPS targets through buybacks while the underlying franchise weakens. We therefore prioritize transaction-margin dollars and branded-checkout growth over EPS alone.

The base case assumes stabilization, not renewed hypergrowth

Base case: modest growth plus buybacks lifts per-share earnings



Fiscal year	Revenue	Growth	GAAP op. margin	Non-GAAP EPS	Normalized FCF
2025A	\$33.17bn	4.3%	18.3%	\$5.31	\$5.56bn*
2026E	\$34.50bn	4.0%	16.8%	\$5.38	\$6.00bn
2027E	\$36.05bn	4.5%	17.5%	\$5.82	\$6.20bn
2028E	\$37.85bn	5.0%	18.2%	\$6.35	\$6.50bn
2029E	\$39.75bn	5.0%	18.7%	\$6.95	\$6.80bn
2030E	\$41.75bn	5.0%	19.0%	\$7.65	\$7.10bn

Why growth can improve

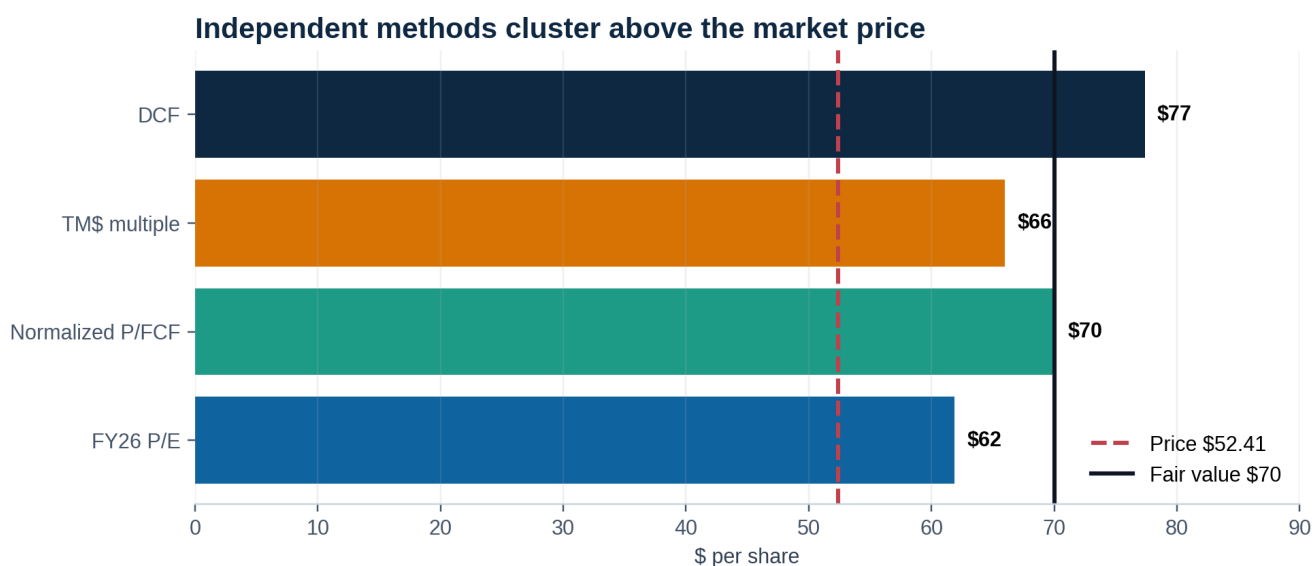
- Venmo and Braintree sustain double-digit volume growth.
- Debit, credit and offers lift monetization.
- Branded checkout stops losing share.
- Platform simplification improves delivery speed.

Why estimates may be too high

- Take-rate compression offsets TPV.
- Reinvestment absorbs gross savings.
- Buyback pace slows as valuation rises.
- Macro or credit losses weaken conversion.

A = actual; E = analyst estimate. 2026 non-GAAP EPS and adjusted FCF use management guidance. *2025 displayed FCF is SEC operating cash flow less capital expenditure, not adjusted FCF.

Four methods converge around the low \$70s



Method	Assumption	Value/share	Interpretation
FY26 P/E	\$5.38 EPS x 11.5x	\$62	Conservative mature-platform multiple; below premium networks.
Normalized P/FCF	\$6.0bn / 855m shares x 10x	\$70	Primary cash-yield anchor; assumes FCF durability.
TM\$ multiple	\$15.6bn x 3.5x + net cash	\$66	Values the economic output before non-transaction operating costs.
Equity DCF	\$5.6bn start; 1-3% near-term growth; 11% cost of equity; 2% terminal	\$77	Conservative long-duration value; most sensitive to durability.

Blended fair value: \$70. Weighting P/E 25%, P/FCF 30%, TM\$ 20%, and DCF 25% produces \$69.1, rounded to \$70. A lower 12-month target of \$65 recognizes execution risk and time required for proof.

All valuation outputs are analyst estimates. Market price \$52.41 and market capitalization approximately \$44.8 billion as of September 18, 2026. Net cash/investments uses company-reported \$15.3 billion cash and investments less \$13.4 billion debt.

The asymmetry is attractive, but the downside is not theoretical

BEAR | 25%
\$40
Slow melt

Branded checkout loses share, TM\$ stagnates, savings are reinvested without return, and normalized FCF falls toward \$5 billion. The market holds an 8x cash-flow multiple.

BASE | 55%
\$70
Stabilization

Revenue compounds 4-5%, TM\$ grows modestly after 2026, margins recover, and buybacks lift per-share results. The stock earns a 10-12x multiple.

BULL | 20%
\$95
Product proof

Branded checkout reaccelerates, Venmo monetization scales, and cost savings create leverage. A 14x multiple on 2028 EPS becomes reasonable.

DCF sensitivity (\$/share)

Cost of equity \ Terminal growth	2.0%	2.5%	3.0%
9.0%	\$110	\$117	\$124
10.0%	\$97	\$102	\$107
11.0%	\$86	\$90	\$94

Sensitivity uses a \$6.0 billion starting FCF and 2%, 3%, 4%, 4%, 4% annual growth. Our reported \$77 DCF is deliberately more conservative: \$5.6 billion start, 1-3% growth, 11% discount rate, 2% terminal growth.

Upcoming thesis tests

- **Q3 / Q4 2026:** online branded-checkout TPV should hold near or above management's low-single-digit full-year expectation.
- **2027 outlook:** transaction-margin dollars excluding customer-balance interest should grow faster than 2026's 3% Q2 pace.
- **Reorganization:** identified gross savings should convert into better margins or measurable product growth, not disappear into spending.
- **Capital allocation:** diluted shares should continue falling after stock-based compensation, while leverage remains controlled.

Downgrade rule: move to HOLD if two of the following persist for two quarters: branded checkout below 2%, ex-interest TM\$ below 2%, or non-transaction expense growth above revenue without a clear return.

RECOMMENDATION

BUY at \$52.41; demand evidence, not promises

PayPal offers a rare combination of global scale, positive growth and a mid-teens normalized free-cash-flow yield. The market's skepticism is rational, but the current price overstates the probability of permanent decline.

Positioning

12-month target: \$65

Fair value: \$70

Entry range: attractive below \$55

Risk rating: High

Time horizon: 18-36 months

What changes our mind

Upgrade: branded checkout above 5% with TM\$ acceleration and operating leverage.

Downgrade: persistent branded share loss, falling normalized FCF, or buybacks funded by rising net debt.

Final investment view

The investment is not a bet that PayPal becomes Visa, nor that every new product succeeds. It is a bet that a trusted, globally licensed platform moving nearly \$2 trillion of annual volume can preserve roughly \$6 billion of normalized cash flow while management retires stock and repairs product execution. At about 9.7x guided 2026 non-GAAP EPS and roughly 7.5x normalized equity free cash flow, that is a favorable risk/reward.

Size the position for execution risk. The apparent valuation floor will fail if branded checkout deteriorates faster than Venmo, Braintree and financial services can compensate. The right monitoring dashboard is short: branded-checkout growth, transaction-margin dollars excluding balance interest, and net savings after reinvestment.

Sources

1. [PayPal 2025 Form 10-K](#), filed February 3, 2026.
2. [PayPal Q2 2026 Form 10-Q](#), period ended June 30, 2026.
3. [PayPal Q2 2026 earnings release](#), July 28, 2026.
4. [Finnhub market data: PayPal](#), price and market metrics as of September 18-19, 2026.
5. [Finnhub market data: Visa and Mastercard](#), comparative P/E data.
6. [PayPal product announcement](#): checkout, Fastlane, offers and Venmo innovations.
7. [PayPal-Adyen Fastlane partnership announcement](#).

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